

The 50/30/20 Budgeting Rule

The 50/30/20 rule is a simple, intuitive framework for allocating your monthly after-tax income.

1. 50% for Needs

These are your non-negotiables. Rent, utilities, groceries, and basic transportation. If you can't live without it, it belongs here.

2. 30% for Wants

This is your lifestyle fund. Dining out, OTT subscriptions, hobbies, and travel. This category is flexible and can be scaled back if needed.

3. 20% for Savings and Debt Repayment

This is the most important category for long-term wealth. This includes your SIPs, emergency fund contributions, and any extra debt payments.

Strategic Tip: If your 'Needs' are lower (e.g., living at home), push the surplus into the 'Savings' category rather than the 'Wants' category.